

The Players, Regulators, and Stakeholders

Privacy and Big Data



O'REILLY®

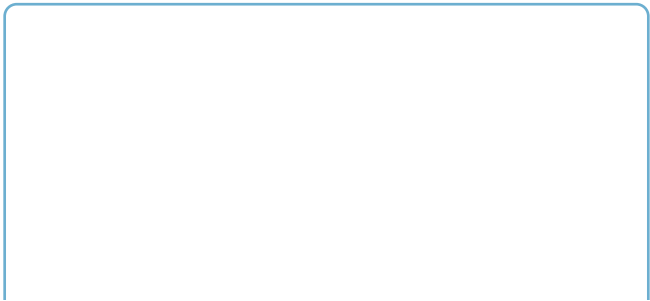
Terence Craig & Mary E. Ludloff

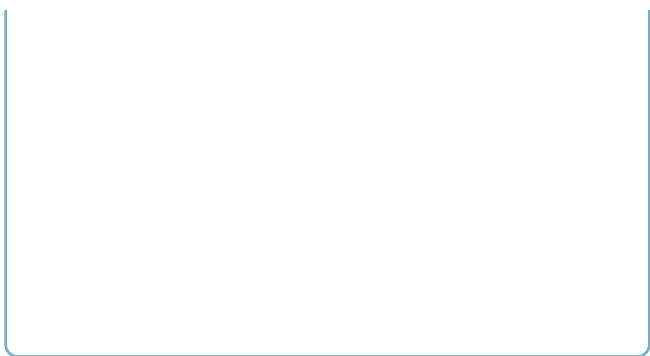


PATTERNBUILDERS









- **The Internet becomes a household word**

- **Shopping goes online**

- **Search goes mainstream and validates a powerful, new advertising model**

- **Social media sites take off**

- **The rise of personal devices**

- **Communication becomes**

instant

















- **Physical privacy—**

- **Informational privacy**

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- **Organizational privacy**

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- **Privacy of our communications—**

■ Privacy of our behavior

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- **Privacy of our person—**

“The right of the people to be secure in their persons, houses,

papers, and effects, against unreasonable searches and seizures, shall not be violated, and no Warrants shall issue, but upon probable cause, supported by Oath or affirmation, and particularly describing the place to be searched, and the persons or things to be seized.”^[1]

“These considerations lead to the conclusion that the protection afforded to thoughts, sentiments, and emotions, expressed through the medium

of writing or of the arts, so far as it consists in preventing publication, is merely an instance of the enforcement of the more general right of the individual to be let alone.”[2]

“Because the action for iniuria was designed to protect honor and dignity, husbands could recover for insults to their

wives, and fathers for insults to their children... And because the action 'rested on outraged feeling, not on economic loss' ... the penalty was measured according to the position of the parties, and the grossness of the outrage. "[5]

“In earlier centuries, though, only persons of high social status could expect their right to respect to be protected in court. Indeed, well into the twentieth century, only high-status persons could expect to be treated respectfully in the daily life of Germany or France, and only high-status persons could expect their ‘personal honor’ to

*be protected in continental
courts.”*[\[7\]](#)

“This long-term secular leveling-up tendency has shaped continental law in a very fundamental way. [For example] contemporary continental hate speech protections... can be

traced back to dueling law.”[[8](#)]

*“...an earthquake of shock,
outrage, disbelief and
embarrassment throughout
France on Sunday. Though*

horrified by those alleged crimes, the French press and political elite on Monday seemed perhaps more scandalized still by the images of Strauss-Kahn's brusque treatment by the New York police, and his exposure in the American media."^[2]

“No one shall be subjected to arbitrary interference with his privacy, family, home or correspondence, nor to attacks upon his honour and reputation. Everyone has the right to protection of the law against such interference or attacks.”[\[10\]](#)

“... three disturbing trends now

underway in Europe together represent the greatest erosion of democratic practice in the world's advanced democracies since 1945. First, anti-Nazi laws are being adopted in places where neo-Nazism poses no serious threat. Second, speech laws have been dramatically expanded to sanction speech that incites hatred against groups based on their religion, race, ethnicity, or several other characteristics. Third, these incitement laws are being interpreted so loosely that they

chill not just extremist views but mainstream ones too. The result is a serious distortion and impoverishment of political debate.” [[12](#)]

“Google and Beijing had a well-publicized standoff starting in January 2010, following revelations of a large-scale, sophisticated computer exploitation targeting the firm’s networks in China.

Investigations revealed that the perpetrators behind this incident, apparently based in China, sought both the firm’s proprietary information and access to the email accounts

used by Chinese human rights activists.”[\[13\]](#)

“Our laws are focused on data collection, not the usage of data. And, yet, it’s at the usage level where the violations of

collective privacy take place. It's not particularly creepy to know that someone is a Yankees fan if they're wearing a Yankees T-Shirt. But if your algorithm pieces together thousands of pieces of data shared by that person and their friends and develops a portrait of that person from which to judge them... that's creepy.”[[16](#)]



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- **Comprehensive laws (or regulatory model)**

- **Sectoral laws (targeted model)**

- **Self-regulation**

- **Consumer regulation**

■ Health care industry

- **Financial industry**

- **Children under the age of 13**

- **Notice and Choice**

- **Harm-Based**

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■ **Collection Limitation**

- **Data Quality**

- **Purpose Specification**

- **Use Limitation**

- **Security Safeguards**

- **Openness**

- **Individual Participation**

■ **Accountability**

guidelines

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Directive



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■ **Data Collectors**

- **Data Markets (the Aggregators)**

■ **Data Users**

- **Data**
Monitors/Protectors

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- **Trade secrets**

■ Copyrights

■ Patents

“While experts and literature we reviewed provided different

examples of effects on the U.S. economy, most observed that despite significant efforts, it is difficult, if not impossible, to quantify the net effect of counterfeiting and piracy on the economy as a whole... To determine the net effect, any positive effects of counterfeiting and piracy on the economy should be considered, as well as the negative effects.”[[33](#)]





“[It] provides a computing platform on which you can't tamper with the application software, and where these

*applications can communicate securely with their authors and with each other. The original motivation was **digital rights management** (DRM): Disney will be able to sell you DVDs that will decrypt and run on a TC platform, but which you won't be able to copy. The music industry will be able to sell you music downloads that you won't be able to swap. They will be able to sell you CDs that you'll only be able to play three times, or only on your birthday. All sorts of new marketing possibilities*

will open up.”[[34](#)]

“Hollings' bill... would require any device that can ‘retrieve or access copyrighted works in digital form’ to include a federally mandated copy protection system... That covers not just your next iPod or Windows Media Player, but just about every digital device with a

screen, a printer, an audio jack, a disk drive, a memory stick, or several input/output devices yet to be invented. Your computer, your camera, your car stereo.”[\[35\]](#)

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“This is precisely the functional equivalent of Barnes & Noble -- or Amazon itself for that matter -- using a crowbar or lock pick to break into your home or business, then stealing back a previous physical book

purchase, replacing it with the equivalent value in cash," said privacy advocate Lauren Weinstein.^{[\[37\]](#)}

“Traditionally, copyright law

has not posed a particular problem for privacy protection. Readers, listeners and viewers have always enjoyed very high levels of privacy, by practice if not by law, without any threat to the interests of copyright holders. Copyright grants certain rights to copyright holders, but these rights do not include the right to know the identity of the copyright user.”[\[38\]](#)

“... in the past year, Silicon Valley firms have seen a bevy of

Web companies like them swept into investigations for consumer protection violations and fraud... Last week, Internet radio site Pandora revealed that it was called into a broad federal grand jury investigation into the alleged illegal sharing of user data by a number of companies that create apps for iPhone and Android devices. Days earlier, Google settled with the Federal Trade Commission on charges it exposed data through its Buzz social networking application without the permission of users.

Last year, Twitter settled with the agency after an investigation found the site's loose security allowed hackers to access user information.” [\[41\]](#)

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“LinkedIn may sometimes pair an advertiser's message with social content from LinkedIn's network in order to make the ad more relevant. When LinkedIn members recommend people and services, follow companies, or take other actions, their name/photo may show up in

related ads shown to you. Conversely, when you take these actions on LinkedIn, your name/photo may show up in related ads shown to LinkedIn members. By providing social context, we make it easy for our members to learn about products and services that the LinkedIn network is interacting with.”

devices

tracking

*“In 2007, CNET **reported** that the company operated two other subsidiaries that secretly shared information with one another to create extremely detailed profiles about users -- including their social network affiliations. Rapleaf quickly responded by merging all of its businesses under one brand.”*[[45](#)]

“... fully 56 percent of the sites directly leak pieces of private information with this result growing to 75 percent if we also include leakage of a site userid. Sensitive search strings sent to healthcare Web sites and travel itineraries on flight reservation sites are leaked in 9 of the top 10 sites studied for each category.”^{[[46](#)]}

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“A well-known result in linking pieces of PII is that most Americans (87 percent) can be uniquely identified from a birth date, five-digit zip code, and gender.”[\[48\]](#)

*"... the world's largest database
of profiles of individuals that*

includes demographic, financial, purchase, geographic and other information collected from their Web activities and brick-and-mortar transactions... WPP executives say Xaxis will have more than 500 million unique profiles, reaching virtually 100 percent of the population in markets where it operates.”[[49](#)]

“The truth about data is once

it's out there, it's hard to control."[\[50\]](#)

















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“The 2004 GAO report on government data mining found that more than one-fourth of all government data mining projects involved access to data from the private sector. The government has broad powers for doing so. It can access publicly available data on the same basis as any member of the public, it can contract for data, and it can exercise its unique power to issue subpoenas, search warrants, wiretap orders, National Security Letters, and FISA orders that

require the product of personal data, usually in secret.”[[58](#)]

“In Miller v. United States and subsequent cases, the Supreme Court created a broad gap in the privacy protection provided by the Fourth Amendment by finding that the government’s seizure of personal information from third parties is outside its scope. As a result, the government’s behavior need not be reasonable nor is any judicial authorization required when the government searches or seizes personal information

held by third parties.”[[60](#)]

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“Our results offer new insight into consumers’ valuations of personal data and provide evidence that privacy information affects online shopping decision making. We

found that participants provided with salient privacy information took that information into consideration making purchases from websites offering medium or high levels of privacy. Our results indicate that, contrary to the common view that consumers are unlikely to pay for privacy, consumers may be willing to pay a premium for privacy. Our results also indicate that business may use technological means to showcase their privacy-friendly privacy policies and thereby

*gain a competitive
advantage.”[[63](#)]*

transparency

Enforcing Intellectual Property Rights by Diminishing Privacy: How the Anti-Counterfeiting Trade Agreement Jeopardizes the Right to Privacy

Untangling the Social Web



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“Like it or not, we live in interesting times. They are times of danger and uncertainty; but they are also the most creative of any time in the history of mankind. And everyone here will ultimately be judged -- will

ultimately judge himself -- on the effort he has contributed to building a new world society and the extent to which his ideals and goals have shaped that effort.”[[65](#)]









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*“In the wake of the riots in London, the **British** government says it’s considering shutting down access to social networks*

— as well as Research In Motion's BlackBerry messenger service — and is asking the companies involved to help.

Prime Minister David Cameron said not only is his government considering banning individuals from social media if they are suspected of causing disorder, but it has asked Twitter and other providers to take down posts that are contributing to unrest.”^{[[69](#)]}

**Kerry and McCain
throw their weight
behind privacy bill of
rights**



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throw their weight behind
privacy bill of rights**

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